EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Aparri is a 1st class municipality located at the northernmost tip of Luzon Island, 595 kilometers from Manila. It is a coastal community situated at the mouth of the mighty Cagayan River, dividing it into two geographic areas – Aparri East and Aparri West. The Municipality is composed of 42 barangays sprawled within its 27,600.88-hectare land area, with a population of 64,479 inhabitants. The town proper is made up of 15 Centro block units, the rest in its immediate environs and the west barangays, including the island of barangay Fuga.

Farming and fishing are the people's main sources of livelihood. The vast fertile agricultural land produces abundant quantity of rice, corn, vegetable and legumes. The gently rolling hills are dotted with fruit-bearing trees and an excellent grazing land for livestock. Fishing and fish processing are vital industries. The bodies of water around and within Aparri are teemed with fishes and other marine resources. Nipa shingle sewing and wine-making are thriving enterprises in the western barangays, where nipa palm trees abound.

The strategic location of Aparri makes it a legitimate convergent zone. Since Spanish times, the town had already been the trade and commercial center in Northern Cagayan. It is also the hub and heart of education and learning, finance and institutions in the region. The presence of educational institutions, banks and other financial establishments and national government agencies magnetize people from other municipalities and locations to Aparri.

In the passing times, Aparri has evolved from its lowly status to its current highly esteemed standing as the premiere Municipality in Northern Cagayan. The institution of responsive and committed local leadership had merited numerous local and national awards and commendations for the municipality and its people in the realm of local governance of Aparri was empowered by the Civil Service Commission, through its Local Chief Executive- Mayor Bryan Dale G. Chan, to take final action on the appointments of LGU Aparri personnel.

The Municipal Government was not only concerned with the material welfare and benefits of the people. It earnestly endeavored for the social and cultural transformation of the populace by adopting character traits for each month of the year – virtues which every Aparriano ought to internalize and exhibit in life. These are: discipline, loyalty, gratefulness, forgiveness, hospitality, determination, cleanliness, patience, responsibility, faith, resourcefulness and benevolence. This scheme had evolved Aparri into a "TOWN OF CHARACTER".

Scope of Audit

The audit covered the accounts and operations of the Municipality of Aparri, Cagayan for CY 2021 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards (PPSAS), and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance, and performance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, financial performance, appropriations, allotments and obligations of the Municipality of Aparri, Cagayan for the year ended December 31, 2021, with comparative figures for CY 2020, are as follows:

Particulars	2021	2020	Increase/(Decrease)
			Amount
Financial Position			
Assets	993,099,420.59	945,004,239.45	48,095,181.14
Liabilities	193,924,176.97	198,776,487.30	(4,852,310.33)
Govt. Equity	799,175,243.62	746,227,752.15	52,947,491.47
Financial Performance			
Income	270,962,859.24	256,215,540.81	14,747,318.43
Expense	243,678,258.25	202,123,294.89	41,554,963.36
Appropriations, Allotments and Obligation			
Appropriations	371,627,696.19	453,209,102.28	(81,581,406.09)
Obligations	216,802,795.03	284,787,647.79	(67,984,852.76)

C. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the fairness of presentation of the financial statements of the Municipality of Aparri, Cagayan for the year ended December 31, 2021 due to the following:

1. The accuracy and reliability of the Property, Plant and Equipment account appearing in the books of account totaling P604,593,385.80 as at December 31, 2021, cannot be determined due to the improper conduct of one-time cleansing procedures in its physical inventory, contrary to COA Circular 2020-006 dated January 31, 2020, thus, affecting the fair presentation of the LGU's financial position.

2. The balances of Intra-Agency accounts amounting to P41,994,909.75 were not presented in the Consolidated Statement of Financial Position as at December 31,2021,

contrary to Section 111 of PD No. 1445, thus, adversely affecting the accuracy and reliability of the Financial Statements.

D. Summary of Significant Audit Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. **Out of the P62,375,583.19 20% Development Fund of the Municipality, only P11,893,241.90 or 19.07% of which were utilized as at year-end, contrary to Section 5 of DILG-DBM Joint Memorandum Circular No. 2017-1 dated February 22, 2017, thus, optimal utilization of the fund for desired socio-economic development and environmental outcomes were not attained and timely benefits therefrom were not received by the intended beneficiaries.**

We recommended that the Management fast-track the implementation of the current year and continuing development projects, in order to avoid accumulation of unimplemented projects, and to ensure the optimal utilization of the 20% Development Fund in the ensuing year, pursuant to Section 5 of DILG-DBM Joint Memorandum Circular No. 2017-1 dated February 22, 2017, for the benefit of the constituents of the Municipality.

2. **The list of programs, projects and activities for the unexpended prior years' Local Disaster Risk Reduction and Management Fund (LDRRMF) amounting to P30,954,152.99 was not incorporated under a separate caption in the LDRRMF Investment Plan for CY 2021, contrary to Section 6.5 of the NDRRMC-DILG-DBM Joint Memorandum Circular No. 2013-1 dated March 25, 2013 and COA Circular 2012-002 dated September 12, 2012, hence, rendering no concrete basis for the disbursements made during the year.**

We recommended that the Management include in the LDRRMF Investment Plan or revised Annual Investment Plan (AIP) the projects/activities/programs chargeable against the Trust Liabilities- DRRMF account of prior years' unexpended balance, pursuant to NDRRMC-DILG-DBM Joint Memorandum Circular No. 2013-1 dated March 25, 2013 and strictly comply with the accounting guidelines and disclosures of LDRRMF under COA Circular No. 2012-002. We also recommended that the Municipal Accountant maintain Subsidiary Ledgers (SL) for the yearly transfer of unspent LDRRMF to the Special Trust Fund and provide disclosures thereof in the financial statements.

3. **Due to NGAs balance as at December 31, 2021 amounting to P17,660,448.66 remained unutilized and unliquidated, contrary to COA Circular No. 94-013, thus, depriving its constituents of the economic benefit that could have been derived therefrom.**

We recommended that the Management exert efforts to identify the completed projects from the funds received from various NGAs and prepare the corresponding

liquidation documents to be submitted to the source agency, and return the unutilized balance of the fund, if any, to present fairly the liabilities and equity account in the financial statements.

We also recommended that the Management timely implement the funded programs or projects by the National Government in order to maximize the use of government resources and prompt delivery of the desired socio- economic outcomes to its constituents.

E. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settle-ment
Suspensions					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	
Disallowances					
Prior Years	-	5,640,000.00	-	5,640,000.00	
Current Year	-	-	-	-	
Total	**-**	**5,640,000.00**	**-**	**5,640,000.00**	
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	

F. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the thirty-four (34) audit recommendations in the CY 2020 Annual Audit Report, seventeen (17) were fully implemented while seven (7) were partially implemented and ten (10) were not implemented as at year-end.